

CHINA CONSUMER STAPLES

Value retailers: Addressing key investor questions on recent competition; Reiterate Buy on Busy Ming/Wanchen

Our value retailers coverage, Busy Ming/Wanchen's share prices (initiation in March) are up +66%/+1% since begin-2026 to 26 May respectively, outperforming MSCI China Consumer Staples index at -11%. However, share prices pulled back 9%/6% on May 27 with rising investors questions and concerns on the recent regional escalation of subsidies to franchisees (mainly on new store opens). **GS view:** Despite concerns over localized competition, the TAM remains vast in our view with substantial room for further penetration and category expansion (our view that the industry-wide stores have the potential to reach up to c.100k ultimately vs. <60k currently), esp. given YTD gross store opens at c.2,500+ for each system and are growing at a much faster pace vs. 1H25. With this, we think investor concerns on potential earnings risks seems overdone and **address key investor questions below:**

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- **1) This round of subsidies are localized and store-specific (“one store, one policy”)**, which are targeted at specific high-competition zones to prevent competitor encroachment: While market concerns mainly focus on any aggressive subsidy wars, this round of subsidy structure is targeted (regional focus) and was introduced as a disciplined, preemptive counter-measure. We note the following **key differences** for this round vs. the competition measures in 2024 including: **i) Strict evaluation for applications by franchisees:** Approval is strict, and incentives are often tied to performance gradients (e.g., monthly efficiency targets/distance/franchisee investments on store display etc.) and not open-ended, vs. more open-ended policies in 2024 covering signage, rent, and promotional margin on top of a fixed subsidy amount at Rmb10k~12k in 2024 (see Exhibit 4); **ii) More selective and regionally focused** (unlike the broad-based national expansion seen in 2024): our channel checks suggest Busy Ming mostly focuses on its home market Central and South China (i.e. Hunan/Guizhou/Hubei/Jiangxi/Guangdong), while Wanchen mainly focuses on selective regions i.e. Shaanxi; **iii) the key ROI for evaluating store performance has shifted to** payback periods and site selection, and both Busy Ming and Wanchen still remain rational in terms of granting subsidies using lessons from 2024 to prevent franchisees opening stores solely to collect grants; we also view localized counter-measures as a tool to prevent irrational over-saturation and excessive store saturation in a close competitive radius by competitors.

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- **2) Earnings impact:** We note that in 2024, subsidies supported overall store open run-rate and accelerated market consolidation by value retailers while both GPM/NPM actually benefited from economies of scales and bargaining power (i.e. Busy Ming's 2024 GPM rose 0.12pp vs. 2023, Wanchen's retail business GPM rose 1.3pp yoy in 2024). **We maintain our earnings forecasts** (our base-case forecasts of 5.1k/6.5k new stores for Busy Ming/Wanchen in 2026 with GPM expansion at 0.43ppt/1.0ppt respectively on operation gains), **but perform two earnings sensitivity tests to examine the potential impact** from new store opens/subsidy (See [Exhibit 1](#) & [Exhibit 2](#)).
- **3) Along with the rapid increase in store counts, there is still a significant “toolset” available for growth:** We note accelerated store openings by leaders in 1Q26 while single-store performance improved with LNY seasonality, category expansion and operational refinements. We expect value retailers to capture more market share within China's Rmb4trn snack and beverage market, while both leading players have yet to fully leverage tools such as product innovation/extension, member management, and digitalization. We are also seeing enhanced collaboration from F&B brands with value retailers as brands seek to navigate a subdued consumption environment with value retailers representing a growth vector suggesting a fundamental reshaping of the value chain, for which competition is increasingly requiring a strategic pivot toward channel-specific innovation and efficiency focus (see section below on “what F&B brands are telling us about Value Retailers”).

We reiterate our Buy ratings on Busy Ming/Wanchen on attractive risk/reward. Busy Ming/Wanchen are trading at 17x/14x 2026E P/Es post correction. **Catalysts include:** **1)** Busy Ming's inclusion into the Hang Seng Composite Index (HSCI), announced on May 22, 2026 (which is a prerequisite for the Southbound Stock Connect); **2)** We anticipate a robust 1H26/2Q26 earnings report by Busy Ming/Wanchen with strong new store open run-rate and margin expansion from scale/efficiency; **3)** Positive signals in per-store GMV trend uplift helped by category expansion, esp. for Busy Ming.

The authors would like to thank Lily Qi for her contribution to this report.

Store opens/subsidy sensitivity

We perform a sensitivity analysis on the size of subsidies issued by the company to franchisees for new stores at both companies on our 2026E forecasts, **incorporating the potential impact of incremental store-openings motivated by the additional subsidy incentive**, similar to those seen during the intense subsidy-driven competition in 2024. For the sensitivity, **we flex:** **1)** 0~1.2k additional 2026 new store openings for each company vs. our base-case forecasts of 5.1k/6.5k new stores for Busy Ming/Wanchen, driven by more aggressive subsidy incentives; **2)** Subsidies of Rmb50k~70k (considering the historical one-time new store subsidy level at Rmb72~100k in 2024, and that the regions applying this round subsidies hold c.50% of current total store count for Busy Ming) per new store opened in 2026 on average for both companies, including the regular Rmb36k new-store opening subsidy since late 2024 that we already factor into our base cases plus the additional competitive subsidy

associated with direct overlap with the other player. Our sensitivity analysis suggests this could result in up to -0.3pp/-0.4pp potential gross profit margin dilution and -0.2pp/-0.2pp potential net profit margin drag for Busy Ming/Wanchen in 2026E, translating into up to -3.0%/-4.1% drag on (adjusted) net profit growth, respectively.

2) We also perform a sensitivity analysis **assuming 2026E topline/new store opens are unchanged, flexing:** 1) 30~70% of 2026 new store openings are drawn into direct head-to-head competition considering that only selected regions participate in this round subsidies and therefore qualify for subsidies; 2) Rmb40~80k additional subsidies granted per participating store considering the historical one-time new store subsidy level at Rmb72~100k in 2024 though we believe the amount may be more disciplined/rational this time around. The sensitivity test suggests up to 0.3pp/0.4pp potential GPM dilution and 0.2pp/0.3pp NPM drag for Busy Ming/Wanchen in 2026, with up to -5%/-7% (adj.) potential NP drag vs. our current earnings growth forecast of +52%/+90% yoy in 2026E, respectively.

Exhibit 1: Sensitivity test of GPM/NPM/NP impact flexing 2026 store open and avg. subsidies per new store (incl. regular subsidies)

Busy Ming Sensitivity test

2026E GPM impact		vg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	5100	-0.07pp	-0.10pp	-0.12pp	-0.15pp	-0.17pp	
	5400	-0.09pp	-0.11pp	-0.14pp	-0.17pp	-0.19pp	
	5700	-0.10pp	-0.13pp	-0.16pp	-0.18pp	-0.21pp	
	6000	-0.12pp	-0.14pp	-0.17pp	-0.20pp	-0.23pp	
	6300	-0.13pp	-0.16pp	-0.19pp	-0.22pp	-0.25pp	

2026E adj. NPM impact		vg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	5100	-0.05pp	-0.07pp	-0.09pp	-0.11pp	-0.12pp	
	5400	-0.06pp	-0.08pp	-0.10pp	-0.12pp	-0.14pp	
	5700	-0.07pp	-0.09pp	-0.11pp	-0.13pp	-0.15pp	
	6000	-0.08pp	-0.10pp	-0.12pp	-0.14pp	-0.17pp	
	6300	-0.09pp	-0.11pp	-0.14pp	-0.16pp	-0.18pp	

2026E adj. NP Impact		vg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	5100	-1.3%	-1.7%	-2.1%	-2.5%	-3.0%	
	5400	-0.9%	-1.3%	-1.8%	-2.3%	-2.7%	
	5700	-0.5%	-1.0%	-1.5%	-2.0%	-2.4%	
	6000	-0.2%	-0.7%	-1.2%	-1.7%	-2.2%	
	6300	0.2%	-0.3%	-0.9%	-1.4%	-1.9%	

2026E adj. NP value impact (Rmb mn)		vg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	5100	4,039	4,022	4,004	3,987	3,969	
	5400	4,054	4,035	4,017	3,998	3,980	
	5700	4,069	4,049	4,030	4,010	3,991	
	6000	4,084	4,063	4,043	4,022	4,001	
	6300	4,099	4,077	4,055	4,034	4,012	

Wanchen Sensitivity test

2026E GPM impact		Avg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	6500	-0.12pp	-0.16pp	-0.20pp	-0.24pp	-0.28pp	
	6800	-0.14pp	-0.18pp	-0.22pp	-0.26pp	-0.31pp	
	7100	-0.16pp	-0.20pp	-0.24pp	-0.29pp	-0.33pp	
	7400	-0.17pp	-0.22pp	-0.26pp	-0.31pp	-0.35pp	
	7700	-0.19pp	-0.24pp	-0.28pp	-0.33pp	-0.38pp	

2026E NPM impact		Avg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	6500	-0.10pp	-0.12pp	-0.14pp	-0.16pp	-0.18pp	
	6800	-0.11pp	-0.13pp	-0.15pp	-0.17pp	-0.19pp	
	7100	-0.12pp	-0.14pp	-0.16pp	-0.18pp	-0.20pp	
	7400	-0.12pp	-0.15pp	-0.17pp	-0.19pp	-0.21pp	
	7700	-0.13pp	-0.15pp	-0.18pp	-0.20pp	-0.22pp	

2026E NP Impact		Avg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	6500	-1.8%	-2.3%	-2.9%	-3.5%	-4.1%	
	6800	-1.3%	-1.9%	-2.5%	-3.2%	-3.8%	
	7100	-0.9%	-1.5%	-2.2%	-2.8%	-3.5%	
	7400	-0.5%	-1.1%	-1.8%	-2.5%	-3.1%	
	7700	0.0%	-0.7%	-1.4%	-2.1%	-2.8%	

2026E NP value impact (Rmb mn)		Avg. subsidies per new store (Rmb k) - incl. normal Rmb36k					
		50	55	60	65	70	
2026 new store open	6500	2,511	2,496	2,481	2,466	2,451	
	6800	2,522	2,506	2,491	2,475	2,459	
	7100	2,533	2,517	2,500	2,484	2,468	
	7400	2,544	2,527	2,510	2,493	2,476	
	7700	2,555	2,537	2,519	2,502	2,484	

Source: Goldman Sachs Global Investment Research

Exhibit 2: Sensitivity test of GPM/NPM/NP impact flexing new store competitive subsidy coverage rate and additional competitive subsidy amount per store

Busy Ming Sensitivity test

2026E GPM impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-0.06pp	-0.07pp	-0.09pp	-0.10pp	-0.12pp	
	40%	-0.08pp	-0.10pp	-0.12pp	-0.14pp	-0.16pp	
	50%	-0.10pp	-0.12pp	-0.15pp	-0.17pp	-0.20pp	
	60%	-0.12pp	-0.15pp	-0.18pp	-0.21pp	-0.24pp	
	70%	-0.14pp	-0.17pp	-0.21pp	-0.24pp	-0.28pp	

2026E adj. NPM impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-0.05pp	-0.06pp	-0.07pp	-0.08pp	-0.09pp	
	40%	-0.06pp	-0.08pp	-0.09pp	-0.11pp	-0.12pp	
	50%	-0.08pp	-0.09pp	-0.11pp	-0.13pp	-0.15pp	
	60%	-0.09pp	-0.11pp	-0.14pp	-0.16pp	-0.18pp	
	70%	-0.11pp	-0.13pp	-0.16pp	-0.18pp	-0.21pp	

2026E adj. NP impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-1.1%	-1.3%	-1.6%	-1.9%	-2.2%	
	40%	-1.4%	-1.8%	-2.2%	-2.5%	-2.9%	
	50%	-1.8%	-2.2%	-2.7%	-3.1%	-3.6%	
	60%	-2.2%	-2.7%	-3.2%	-3.8%	-4.3%	
	70%	-2.5%	-3.1%	-3.8%	-4.4%	-5.0%	

2026E adj. NP value impact (Rmb mn)		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	4,046	4,035	4,024	4,013	4,002	
	40%	4,032	4,017	4,002	3,988	3,973	
	50%	4,017	3,999	3,980	3,962	3,943	
	60%	4,002	3,980	3,958	3,936	3,914	
	70%	3,988	3,962	3,936	3,910	3,885	

Wanchen Sensitivity test

2026E GPM impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-0.10pp	-0.12pp	-0.14pp	-0.17pp	-0.19pp	
	40%	-0.13pp	-0.16pp	-0.19pp	-0.23pp	-0.26pp	
	50%	-0.16pp	-0.20pp	-0.24pp	-0.28pp	-0.32pp	
	60%	-0.19pp	-0.24pp	-0.29pp	-0.34pp	-0.39pp	
	70%	-0.23pp	-0.28pp	-0.34pp	-0.39pp	-0.45pp	

2026E NPM impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-0.09pp	-0.10pp	-0.11pp	-0.13pp	-0.14pp	
	40%	-0.11pp	-0.12pp	-0.14pp	-0.16pp	-0.17pp	
	50%	-0.12pp	-0.14pp	-0.16pp	-0.19pp	-0.21pp	
	60%	-0.14pp	-0.16pp	-0.19pp	-0.22pp	-0.24pp	
	70%	-0.16pp	-0.19pp	-0.22pp	-0.24pp	-0.27pp	

2026E NP impact		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	-1.5%	-1.9%	-2.2%	-2.6%	-3.0%	
	40%	-2.0%	-2.5%	-3.0%	-3.5%	-4.0%	
	50%	-2.5%	-3.1%	-3.7%	-4.4%	-5.0%	
	60%	-3.0%	-3.7%	-4.5%	-5.2%	-6.0%	
	70%	-3.5%	-4.4%	-5.2%	-6.1%	-7.0%	

2026E NP value impact (Rmb mn)		Additional subsidies per store (Rmb k)					
		40	50	60	70	80	
2026 new store participation rate %	30%	2,518	2,508	2,499	2,489	2,480	
	40%	2,505	2,492	2,480	2,467	2,454	
	50%	2,492	2,476	2,460	2,445	2,429	
	60%	2,480	2,460	2,441	2,422	2,403	
	70%	2,467	2,445	2,422	2,400	2,378	

Source: Goldman Sachs Global Investment Research

Exhibit 3: Value retailer monthly store opening table (this data may have time/lagging difference vs. the actual number)

Store number monthly tracker	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Busy Ming	14,737	14,956	15,152	15,474	15,989	16,783	17,584	18,551	19,517	20,513	21,041	21,948	22,801	23,291	23,771	24,271	25,178
Net add	343	219	196	322	515	794	801	967	967	996	528	907	853	490	480	500	907
store open %	2.4%	1.5%	1.3%	2.1%	3.3%	5.0%	4.8%	5.5%	5.2%	5.1%	2.6%	4.3%	3.9%	2.1%	2.1%	2.1%	3.7%
Haoxianglai only	12,977	13,325	13,632	14,119	14,356	15,365	15,612	16,320	16,619	16,626	17,248	17,834	18,434	18,909	19,509		
Net add	1,229	348	307	487	237	1,009	200	47	708	299	7	622	586	600	475	600	
store open %	10.5%	2.7%	2.3%	3.6%	1.7%	7.0%	1.3%	0.3%	4.5%	1.8%	0.0%	3.7%	3.4%	3.4%	2.6%	3.2%	

The data may have time/lagging difference vs the act. number.

Source: Douyin, Wechat official accounts, GeoQ, Company data, Goldman Sachs Global Investment Research

Evolution of Subsidy Policies

We identify 3 stages for value retailers' fast development in terms of competition landscape evolution and subsidy policies by leading players below including **1) Rapid expansion stage (2024), 2) Consolidation stage (2025) and 3) Rational & strategic competition stage (2026TD).**

- 1. Rapid Expansion stage (2024):** This is characterized by securing primary locations actions by leading players around key provinces in China. New store opens hiked in 2Q24-3Q24 with aggressive store open policies (subsidies reaching Rmb100k-200k per store, covering signage, rent, and promotional margins) by both Busy Ming and Wanchen in early 2024. The escalated subsidy war remained until the end of 2024 when both players extended their nationwide/regular policy since 2Q24, and gradually moderated in Dec 2024 (Rmb100k or Rmb72k one-time subsidy was removed in Dec 2024).
- 2. Consolidation Stage (2025):** Leading players' strategic focus shifted toward

“high-quality growth” and single-store performance optimization post fast expansion in 2024. Subsidies were significantly reduced to approximately Rmb36k ~65k (vs. Rmb100k~120k in 2024), and per store performance observed a recovery in momentum in 2H25 (Busy Ming, Wanchen).

3. Rational and strategic competition stage (2026TD): Subsidies are now more localized and store-specific (“one store, one policy”). Franchisees view localized “counter-measures” as a positive tool to prevent irrational over-saturation by competitors. **In general for stores in normal circumstances, both Busy Ming and Wanchen have sustained their end-25 level of new stores open policy** for franchisees to 1Q26, waiving franchising fees/training fees etc. Busy Ming will give Rmb36k subsidy for new stores which are larger than 150sqm and Rmb300-500/sqm for additional signage larger than 20sqm contingent on the passing of- the company’s inspection.

Exhibit 4: Busy Ming and Wanchen subsidy timeline (NA for no change vs. previous policies)

Time line	1/18/24 - 4/30/2024	5/1/24 - 6/30/2024	7/1/2024 - 9/30/2024	11/1/2024 - 12/30/2024	1/1/2025 - 12/31/2025	1/1/2026 - 6/30/2026	
Busy for you	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb100k; For the area larger than 20 sqm, can receive subsidy with Rmb300/sqm 3) Stores facing pricing competition can get subsidy to ensure 15% GPM or 50% annual rent/store transfer fee 4) One-time store transfer fee at Rmb200k due to operational reasons applied to new renewal during this period	N.A	N.A	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb72k for the area larger than 150 sqm 3) Rmb36k/monthly Rmb300 for corner store with effective area larger than 40 sqm 4) Rmb300-500/sqm signage subsidy - for areas within 20-40 sqm, subsidy at Rmb300/sqm for areas exceeding 20sqm; for areas within 40-60 sqm, subsidy at Rmb400/sqm for areas exceeding 40sqm; for areas larger than 60 sqm, subsidy at Rmb500/sqm	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb36k for the area larger than 150 sqm 3) Rmb36k/monthly Rmb300 for corner store with effective area larger than 40 sqm 4) Rmb300-500/sqm signage subsidy - for areas within 20-40 sqm, subsidy at Rmb300/sqm for areas exceeding 20sqm; for areas within 40-60 sqm, subsidy at Rmb400/sqm for areas exceeding 40sqm; for areas larger than 60 sqm, subsidy at Rmb500/sqm	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb36k for the area larger than 150 sqm 3) Rmb300-500/sqm signage subsidy for areas larger than 20 sqm 4) per channel checks - selected regions have additional subsidy for head-to-head store open vs Haoxiangjie and "one store one policy" (incl. Hubei/Hunan/Jiangxi/Guangdong/Guangxi/Guizhou)	
Time line	1/22/24 - 4/30/2024	5/1/24 - 6/30/2024	7/1/2024 - 9/30/2024	11/1/2024 - 12/31/2024	1/1/2025 - 12/31/2025	1/1/2026 - 6/30/2026	
Super Ming	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb100k; For the area larger than 20 sqm, can receive subsidy with Rmb300/sqm 3) Stores facing pricing competition can get subsidy to ensure 15% GPM or 50% annual rent/store transfer fee 4) One-time store transfer fee at Rmb200k due to operational reasons applied to new renewal during this period	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb100k; For the area larger than 20 sqm, can receive one-time subsidy	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb72k for the area larger than 150 sqm 3) Rmb36k/monthly Rmb300 for corner store with effective area larger than 40 sqm 4) Rmb300-500/sqm signage subsidy	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb72k for the area larger than 150 sqm 3) Rmb36k/monthly Rmb300 for corner store with effective area larger than 40 sqm 4) Rmb300-500/sqm signage subsidy - for areas within 20-40 sqm, subsidy at Rmb300/sqm for areas exceeding 20sqm; for areas within 40-60 sqm, subsidy at Rmb400/sqm for areas exceeding 40sqm; for areas larger than 60 sqm, subsidy at Rmb500/sqm	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb36k for the area larger than 150 sqm 3) Rmb36k/monthly Rmb300 for corner store with effective area larger than 40 sqm 4) Rmb300-500/sqm signage subsidy - for areas within 20-40 sqm, subsidy at Rmb300/sqm for areas exceeding 20sqm; for areas within 40-60 sqm, subsidy at Rmb400/sqm for areas exceeding 40sqm; for areas larger than 60 sqm, subsidy at Rmb500/sqm	1) Waive franchising fee, decoration fee and training fee; 2) One-time store open subsidy at Rmb36k for the area larger than 150 sqm 3) Rmb300-500/sqm signage subsidy for areas larger than 20 sqm 4) per channel checks - selected regions have additional subsidy for head-to-head store open vs Haoxiangjie and "one store one policy" (incl. Hubei/Hunan/Jiangxi/Guangdong/Guangxi/Guizhou)	
Time line	1/1/2024 - 6/30/2024		7/1/2024 - 12/31/2024	10/21/2024	1/1/2025 - 6/30/2025	4Q2025	1/1/2026 - 6/30/2026
Haoxianglai	1) Support for promotions for stores within 200m away from Buys Ming store 2) Waive franchising fee at Rmb36k, decoration fee, training fee and deposit fee at Rmb20k 3) One-time decoration subsidy at Rmb120k if move to larger store/better location 4) For the area larger than 30 sqm but larger than 120 sqm, can receive subsidy with Rmb500/sqm	N.A	1) Waive franchising fee, decoration fee and training fee; 2) Deposit fee at Rmb20k	1) Waive franchising fee, decoration fee and training decoration fee and training fee etc	1) Waive franchising fee, decoration fee and training decoration fee and training fee etc	1) Waive franchising fee, and transportation fee at Rmb20k	1) Waive 6 fees (franchising fee, delivery fee, site selection fee, training fee, administration fee and services fee) 2) per channel checks - selected regions have additional subsidy for head-to-head store open vs Busy Ming within 200m (incl. Shaanxi/Gansu/Guangdong/Shandong)

Source: Company data, Douyin

What F&B brands are telling us about their operation?

Admittedly, pricing still remains as a key concern for brands, however for more and more consumer staples brands, embracing the structural offline channel reform may be an inevitable trend as brands seek to navigate a subdued consumption environment looking at value retailers’ ability to help stimulate incremental demand. For F&B brands that benefited from the collaboration with value retailers to drive growth, F&B value retailers represent not just a growth vector but suggest a fundamental reshaping of the value chain, for which competition is increasingly requiring a strategic pivot toward channel-specific innovation and efficiency focus.

■ **(+) A high growth vector that can benefit leading brands:** For many staples companies, **sales in value retailers have become one of the fastest-growing offline segments**. Yankershop, for example, delivered strong growth in the discounter channel, with sales rising about 80% in 2024 and 30%+ in 2025E, while Weilong also scaled up rapidly, posting roughly 170%/60%+ YoY growth in 2024/2025E, respectively, per GSe based on mgmt comments. Tingyi/UPC/Mengniu/Yili also commented on rapid growth from value retailer

channels (i.e. doubling sales for Tingyi/UPC in 2025). Looking ahead to 2026, the outlook for snack players such as Yankershop/Weilong remains constructive, while Tingyi/Mengniu continue to enhance collaboration with value retailers.

- **(+) Cooperation in new launches/customized products to drive incremental volume and share gains:** A key pillar of the relationship between brands and value retailers has been direct cooperation on launching exclusive products and customized specifications, which also serves as a testing ground for innovation. At Busy Ming, c.34% of SKUs are reportedly co-developed with brands (in 9M25), and they introduce hundreds of new products each monthly that provide fast turnover of new product tests. Particularly, our value retailer new product tracker reveals that leading brands contribute to a higher portion of new products in value retailer channel. For example, **Weilong's** two popular new-flavors Konjac SKUs were each launched in Busy Ming and Wanchen systems during 2026 LNY exclusively as strong collaboration with two leading value retailers.
- **(=) Margin balancing lower ASP with scale benefits and distribution efficiency:** While value retailers demand value-for money offerings, the value chain is also designed to preserve operating margins for brands by eliminating intermediary layers, saving channel investments, and through scale effects. F&B brands have commented on largely neutral OPM for brands' sales to value retailers such as Tingyi/Yankershop/UPC etc., and usually with better margin vs. traditional supermarket channels (usually break-even or loss making). Especially the Accounts Payable days by value retailers are better than other traditional KAs channels, helping on brands' cash turnover.
- **(-/+) Cost discipline and customized products to prevent system disruption:** To mitigate potential disruption to current wholesaler pricing and distribution systems, **brands have implemented rigorous cost discipline, procurement efficiency and product segregation strategies.** For example, **UPC maintains strict pricing floors** requiring retail prices in value channels to remain at no less than 90% of the suggested retail price for core SKUs and 70% for others, as indicated by our regional site visit in Chengdu. Meanwhile, the trend toward customized products is a direct response to these concerns. Similarly, **Tingyi and UPC have adapted their portfolios to align with the price points and formats preferred by value-seeking consumers.** Tingyi has deployed smaller pack sizes, such as "mini cups," and its "Zhen Wei Dao" economy series specifically for discounters. The same trend is seen in beverages/dairy, with **Mengniu** also focusing on promoting 180ml/200ml pack UHT milk, differentiating from the regular pack in KAs/mom-pops at 250ml.

We reiterate our Buy ratings on Busy Ming/Wanchen on attractive risk/reward; Busy Ming/Wanchen are trading at 17x/14x 2026E P/Es post correction and as we see both as well-placed to benefit from the shift in value retail chain.

Price Target Risks and Methodology – Busy Ming Group

Valuation: Our 12-month target price for Busy Ming is HK\$550, based on a 23x target P/E applied to our 2027E EPS and discounted back to end-2026E, using a COE of 9.4%, referencing the average trading 2027 P/E of global value-focused retail peers including

Dollar General and Dollar Tree in the US, and Ryohin Keikaku and Pan Pacific International Holdings (operates Donki) in Japan, as they are scaled, price-led operators with broad, defensible customer reach similar to Busy Ming.

Key risks: 1) Intensifying competition and price investment; 2) Network density and cannibalization; 3) Franchise model risk and scaling complexity; 4) Supply chain, food safety, and logistics.

Price Target Risks and Methodology – Fujian Wanchen Good

Valuation: Our 12m TP is Rmb319, based on a target 2027E P/E at 21.5x discounted back to end-2026E at an 8.2 % COE. The target P/E is at a HSD% valuation discount to Busy Ming, as we reference the average gap of DLTR's NTM P/E vs. DG's in the past two years, factoring in the relatively slower network scaling momentum and less favorable UE (lower per-store GMV but profits driven by high mix of smaller brands/white labels).

Key risks: 1) intensifying market competition and price sustainability; 2) franchise model risk and scaling complexity; 3) M&A risks; 4) supply chain, food safety and logistics.

Disclosure Appendix

Reg AC

We, Leaf Liu, Christina Liu and Valerie Zhou, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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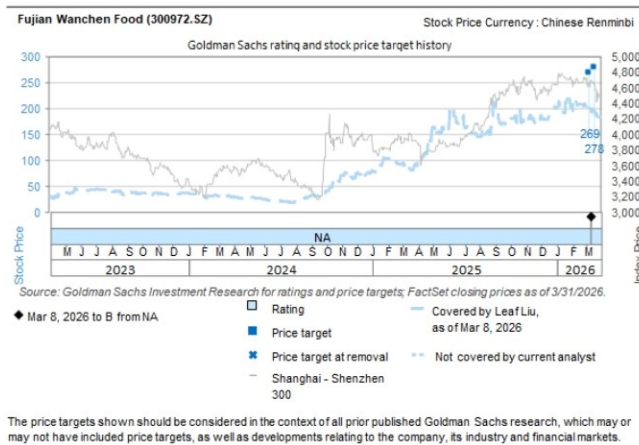
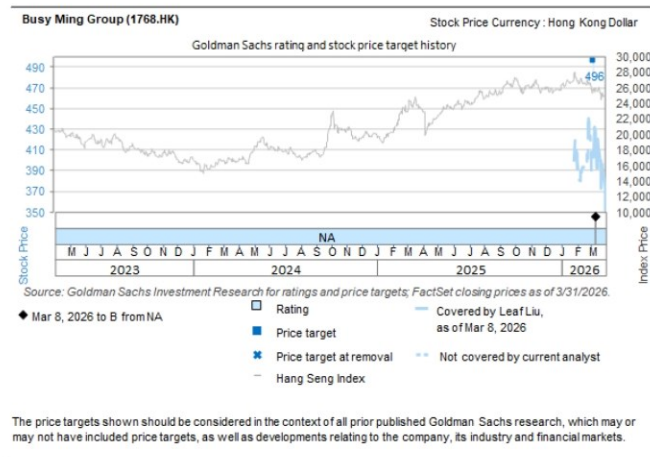
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Price target and rating history chart(s)



Target price history table(s)

Fujian Wanchen Food (300972.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
28-Apr-26	319.00	203.81
17-Mar-26	278.00	192.10
08-Mar-26	269.00	201.81

Busy Ming Group (1768.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
01-Apr-26	550.00	362.60
08-Mar-26	496.00	403.20

Price targets shown in table(s) are unadjusted for corporate actions.

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